

First Formative Assessment – Part II (MCQ)

BM2005 – Entrepreneurship and Business Management

April 17, 2026

Name: _____ **Date:** _____

MCQ SCENARIO-BASED QUESTIONS: Underline the letter of the Correct Answer

SECTION A: Business Plan & BMC

1. A startup founder writes a business plan but leaves out financial projections. What is the biggest issue?

- A. Lack of branding
- B. No understanding of profitability
- C. Weak customer service
- D. Poor product design

2. A business cannot clearly identify its target customers. Which BMC component needs improvement?

- A. Key Activities
- B. Customer Segments
- C. Revenue Streams
- D. Channels

3. A company has high costs but does not know where money is spent. Which BMC area should be reviewed?

- A. Value Proposition
- B. Cost Structure
- C. Customer Relationships
- D. Channels

4. A startup offers a unique eco-friendly product but fails to communicate its benefits. What is missing?

- A. Key Partners
- B. Value Proposition
- C. Revenue Stream
- D. Cost Structure

5. A business plan includes strong marketing but no organizational structure. What risk may occur?

- A. Poor internal coordination
- B. Low revenue
- C. High customer demand
- D. Strong competition

SECTION B: Pitching Your Business

6. An entrepreneur presents too many technical details during a pitch. What is the main problem?

- A. Lack of data
- B. Audience confusion
- C. Weak product
- D. Poor marketing

7. During a pitch, an investor asks about revenue, but the founder cannot answer. What does this indicate?

- A. Strong innovation
- B. Weak financial planning
- C. Good marketing
- D. Clear value proposition

8. A startup fails to secure funding despite a good idea. What is the most likely reason?

- A. Poor pitching skills
- B. Strong competition
- C. High demand
- D. Low costs

9. An entrepreneur receives negative feedback after pitching. What is the best action?

- A. Ignore feedback
- B. Stop the business
- C. Improve the pitch based on feedback
- D. Change industry

10. A founder delivers a clear and engaging story during a pitch. What advantage does this provide?

- A. Reduces costs
- B. Builds investor interest

- C. Improves inventory
- D. Ensures legal compliance

SECTION C: Online Business Operations

11. An online store crashes during peak sales. What is the likely cause?

- A. Poor inventory
- B. Weak platform setup
- C. Bad customer service
- D. Legal issues

12. Customers order items that are unavailable. What is the problem?

- A. Marketing issue
- B. Inventory mismanagement
- C. Legal compliance
- D. Weak branding

13. A business delays replying to customers. What is the main impact?

- A. Increased revenue
- B. Lower customer satisfaction
- C. Better branding
- D. Reduced costs

14. A company has no refund policy listed online. What issue may arise?

- A. Inventory shortage
- B. Legal risk
- C. Poor marketing
- D. Low sales

15. Delivery delays are frequent in an online store. What area needs improvement?

- A. Customer segmentation
- B. Supply chain management
- C. Value proposition
- D. Branding

SECTION D: INTEGRATED SCENARIOS

16. A startup has a strong business model but fails due to poor customer service. What does this show?

- A. Operations are not important
- B. Customer service is critical to success
- C. Marketing is unnecessary
- D. Business plans are useless

17. A business grows quickly but cannot handle orders properly. What is the main issue?

- A. Poor scaling of operations
- B. Weak branding
- C. Low demand
- D. High competition

18. A founder focuses only on product development and ignores legal requirements. What risk occurs?

- A. Increased sales
- B. Legal penalties
- C. Better branding
- D. Strong operations

19. A startup improves its inventory system and customer service. What is the expected outcome?

- A. Lower efficiency
- B. Higher customer satisfaction
- C. Increased legal issues
- D. Reduced innovation

20. A business aligns its business plan, BMC, and daily operations. What is the result?

- A. Operational confusion
- B. Improved business performance
- C. Reduced customer satisfaction
- D. Increased risks